Two more Atmanirbhar packages were announced on 12 October and 11 November. The Atmanirbhar package 2.0 was modest at Rs 46,500 crore, primarily giving loans to government employees for spending on GST-paid goods, cash in lieu of leave travel concession and some loans to states. Atmanirbhar 3.0 sought to inject stimulus of Rs 2.65 trillion. It comprised additional allocation of Rs 18,000 crore and Rs 10,000 crore for the urban housing scheme and MGNREGA. It included a multi-year expected cost of the Production-Linked Incentive (PLI) scheme to promote manufacturing in India of Rs 1.45 trillion. It included additional provision for clearance of pending fertilizer subsidy bills of Rs 65,000 crore. Again, very little of this stimulus outlay got spent in 2020–21 and in 2021–22, barring the fertilizer subsidy. Clearance of the fertilizer subsidy bill represented setoff of loans taken earlier and meant no new expenditure. These packages, like the Atmanirbhar package 1.0, had big headline numbers as stimulus but very little new expenditure took place under them.

All considered, the fiscal stimulus measures announced cost the government less than Rs 2 lakh crore in financial year 2020–21 and less than 3.25 lakh crore by the end of December 2021. Considering the extent of the trauma experienced by small businesses and workers, the real Government of India fiscal package turned out to be the stingiest.

Fiscal Deficit Zoomed to 9.5 Per Cent for 2020–21 in Revised Estimates

The year 2020–21 was not a normal one in any sense; quite unprecedented fiscally. Much of the lockdown witnessed in the first half of the financial year had been rolled back by the beginning of October 2020 but fiscal impacts lingered on. While the second half of 2020–21 brought some semblance of normalcy, the fiscal performance for the year turned out to be extraordinarily bad.